

# Cholamandalam Investment & Finance Company Ltd | CHOLAFIN | Financials

Cholamandalam Investment & Finance Company is one of the premier diversified non-banking finance companies in India, engaged in providing vehicle finance, home loans and Loan against property.[1]

## Key Performance Indicators

|        |        |        |      |              |          |
|--------|--------|--------|------|--------------|----------|
| ROE %  | ROCE % | NPM %  | D/E  | Rev CAGR 5yr | FCF (Cr) |
| 17.46% | 3.37%  | 17.85% | 6.86 | 21.94%       | -38538.0 |

## Profit & Loss Summary (Rs. Crore)

| Year    | Sales   | Op Profit | Net Profit | OPM%    | EPS  |
|---------|---------|-----------|------------|---------|------|
| 2017-03 | 4694.0  | 1322.0    | 718.0      | 1143.0% | 9.0  |
| 2018-03 | 5559.0  | 1451.0    | 918.0      | 1451.0% | 12.0 |
| 2019-03 | 7108.0  | 1632.0    | 1197.0     | 1888.0% | 15.0 |
| 2020-03 | 8712.0  | 2421.0    | 1054.0     | 1699.0% | 13.0 |
| 2021-03 | 9583.0  | 2913.0    | 1521.0     | 2094.0% | 19.0 |
| 2022-03 | 10148.0 | 2926.0    | 2154.0     | 2924.0% | 26.0 |
| 2023-03 | 12884.0 | 3621.0    | 2665.0     | 3515.0% | 32.0 |
| 2024-03 | 19163.0 | 5385.0    | 3420.0     | 4548.0% | 41.0 |

## Key Ratios Trend

| Year    | ROE%   | ROCE% | D/E  | FCF(Cr)  | Rev CAGR |
|---------|--------|-------|------|----------|----------|
| 2019-03 | 19.28% | 2.77% | 8.15 | -9328.0  | 16.74%   |
| 2020-03 | 12.85% | 3.65% | 6.71 | -2129.0  | 18.59%   |
| 2021-03 | 15.84% | 3.83% | 6.64 | -10594.0 | 17.86%   |
| 2022-03 | 18.3%  | 3.49% | 5.88 | -3931.0  | 16.67%   |
| 2023-03 | 18.58% | 3.13% | 6.79 | -29253.0 | 18.31%   |
| 2024-03 | 17.46% | 3.37% | 6.86 | -38538.0 | 21.94%   |

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## Balance Sheet Summary (Rs. Crore)

| Year    | Equity | Reserves | Borrowings | Total Assets |
|---------|--------|----------|------------|--------------|
| 2019-03 | 156.0  | 6052.0   | 50567.0    | 57490.0      |
| 2020-03 | 164.0  | 8036.0   | 55005.0    | 64058.0      |
| 2021-03 | 164.0  | 9436.0   | 63730.0    | 74644.0      |
| 2022-03 | 164.0  | 11605.0  | 69174.0    | 82478.0      |
| 2023-03 | 164.0  | 14182.0  | 97358.0    | 113627.0     |
| 2024-03 | 168.0  | 19425.0  | 134475.0   | 156686.0     |

## Cash Flow Statement (Rs. Crore)

| Year    | CFO      | CFI     | CFF     | Net Cash |
|---------|----------|---------|---------|----------|
| 2022-03 | -5571.0  | 1640.0  | 5150.0  | 1218.0   |
| 2023-03 | -27105.0 | -2148.0 | 27466.0 | -1787.0  |
| 2024-03 | -35683.0 | -2855.0 | 38471.0 | -66.0    |

## Capital Allocation Pattern

### Growth Funded by Debt

### Strengths

- + Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- + Operating profit margin above 25% indicates strong pricing power and cost discipline
- + Net profit compounding at above 20% over 5 years creates significant shareholder value
- + Very high interest coverage ratio reflects negligible financial stress from debt servicing

### Concerns

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital